

Pattern 5 WEDGES

'Wedges' are similar to triangles, but a more open version of the same. If extended for a very long time, wedges go on to create triangles by themselves. Two lines mark the various support levels and the resistance levels of an asset's price. We will wait for the price to break out in either direction and based on the breakout, we will enter a trade either on the bullish side or bearish side.

We will go long, in case the breakout is on the upper end of the wedge and we will go short in case the breakout is on the lower end of the wedge. Wedges work exactly like triangles when it comes to generating trading signals. The illustration portrays a typical wedge pattern.

